Introduction to Personal Finance

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Personal Financial Planning in Action

- Planning is important to ensure a direction for your day-to-day actions.
- Creating a personal financial plan has six basic steps:

1. Determine your current financial situation.
2. Develop your financial goals.
3. Identify alternative courses of action.
4. Evaluate alternatives.
5. Create and implement your financial action plan.
6. Review and revise the financial plan

1. Determine your current financial situation

- The first step in creating your personal financial plan is determining your current financial situation.
- Having a thorough understanding of your current financial situation will help you to formulate realistic and well-informed goals.

Assets (What I own)	
Cash & Cash Equivalents	
1, 2, 3……….	
Personal Property	
1, 2, 3……….	
Invested Assets	
1, 2, 3……….	
Total of all Assets	

Liabilities (What I Owe)	
Current Bills	
1. ……	
2. ……	
Outstanding Debt	
1. …….	
2. ……	
Total of all Liabilities	

	Total Assets
	Total Liabilities
	Net Worth

2. Develop your financial goals

- Goals should be SMART, that is specific, measurable, attainable, realistic, and time-based.
- Also develop short-term, intermediate, and long-term goals. Developing each of these types of goals will allow you to achieve successes early in the plan while also keeping your eye toward the future.
- Short-term or intermediate goals may also serve as stepping stones to reach long-term goals.
- When developing your goals, be sure to differentiate between necessities and wants.
- Establish priorities Using the worksheet on the next slide, add to, amend or re-record those goals for incorporation into your personal financial plan.

Financial Plan Goals Worksheet

Short-Term Goals (Less than 1 year)					
Priority	Goal	Total Cost	Duration	Monthly cost	Target Date

Intermediate Goals (1-10 years)					
Priority	Goal	Total Cost	Duration	Monthly cost	Target Date

Long-Term Goals (Over 10 years)					
Priority	Goal	Total Cost	Duration	Monthly cost	Target Date

3. Identify alternative courses of action

- You will have to devise strategies to help you bridge the gap from where you are today to where you would like to be.
- Alternative courses of actions will fall into one of two categories:

  Reallocating existing resources, or Generating new ones.
- Existing resources can be utilized by earmarking current savings or shifting current allocations as in the example above.
- Generating new resources may require changing jobs to improve your wage outlook, taking on additional hours or investing your savings more aggressively to generate higher rates of return.

Goal Strategies Worksheet

Short-term Goal:	
Target Date:	Monthly Cost:
Strategy 1:	
Strategy 2:	
Strategy 3:	

Intermediate Goal:	
Target Date:	Monthly Cost:
Strategy 1:	
Strategy 2:	
Strategy 3:	

Long-term Goal:	
Target Date:	Monthly Cost:
Strategy 1:	
Strategy 2:	
Strategy 3:	

4. Evaluate alternatives

- Once you have given serious thought to the options available that could lead you to your goals, you may begin to realize just how many options there are. So, which courses of action should you take to achieve your desired goals?
- The answer is: that depends
- Before you can select strategies to complete your financial plan, you'll have to thoroughly evaluate and weigh your options.
- When assessing your options consider the pros and cons of each option.

Goal:____________________

Strategy 1:	
Pros	Cons

Strategy 1:	
Pros	Cons

5. Create and implement your financial action plan

- Having identified options for reaching your goals and having weighed each strategy, it’s now easier to look at the cost of your goals in terms of your current situation.
- This can help you to prioritize your goals as you consider how much it will cost you to implement each one.
- Finalizing your plan will require you to make decisions as to which goals to pursue and the best courses of action to take.
- Once you’ve gone through the effort of creating your plan, discipline is paramount.
- Be conscious about establishing actionable steps you can take to lead you to success when creating your plan. Having concrete steps to take will help you ensure you are doing what you need to do to stay on track to accomplish your goals.

5. Review and Revise your Plan

- One fact remains: life happens. For this reason, it is important to review your plan often and revise it as needed.
- Reviewing your financial plan can help you to gauge your progress toward meeting your goals.
- Your financial situation will change from time to time. You may incur unplanned expenses or receive unplanned incomes. These events may require you to change the path you will follow to reach your goal.
- The fact is your life will change. Your financial plan will have to change too. Be faithful in reevaluating your plan from time to time to ensure your goals haven't changed and that you are on pace to reach those goals.

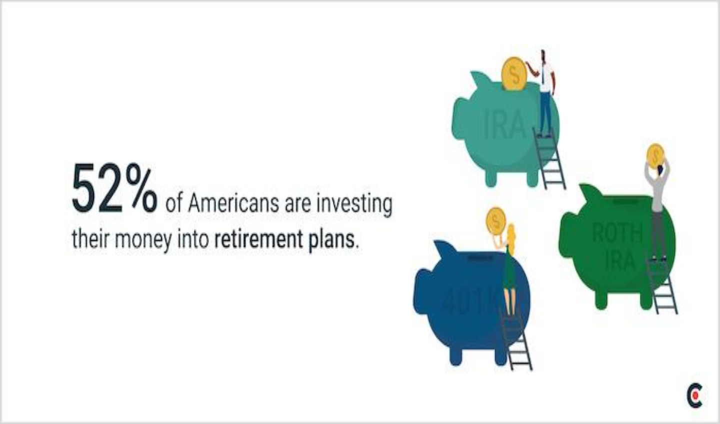
Money Management Skills

Money Management Skills

- Set Realistic Financial Goals
- Create a Personal Budget
- Limit Credit Card Expenses
- Contribute to Savings
- Be Consistent

1. Set Realistic Financial Goals

"knowing where you stand financially and create where you want to be in five, 10, or 25 years in the future"



People should prioritize simple wins:

- Pay off credit card debt
- Cut out unnecessary expenses
- Avoid changes to your plan or goals
- Understand your relationship to money

2. Create a Personal Budget

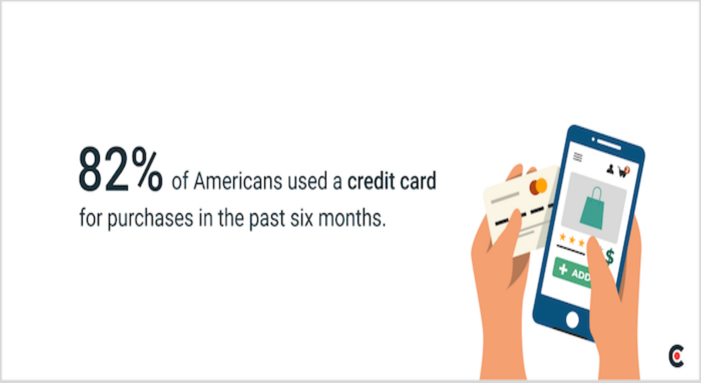
- Having a budget is crucial to managing money effectively.
- Budgets keep track of expenses, help keep people out of debt, and help people organize their financial priorities.

- It is important to note that budgets can change over time. The first budget you create will not be the one you’ll have forever.

3. Limit Credit Card Expenses

A simple swipe can do more harm than good.

According to Wallet hub, the average American household has over $7,000 in credit card debt.



psychology behind credit card spending. Since consumers aren't spending "real" money, they're more likely to make use of their plastic cards. The bill that comes at the end of the month is in the back of their minds.

4. Contribute to Savings

- A goal for expert money managers is to grow wealth and stability through financial security.
- Experts believe that savings accounts are the best place to start investing and managing money
- A savings account is important because it is the backstop for your financial life.
- Overall, consistent saving allows people to meet their money management goals.

5. Be Consistent

- To put all of your money management skills to use, you must be consistent.
- People who have successful saving habits stick to their goals and only change them when life events such as pay raises and career changes occur.
- “A financial plan is simply a guide,” Hyde said. “You’re stating where you want to go.”
- Without consistency, it is easy for money management beginners to fall back into old habits or make money mistakes.

Common Money Mistakes to Avoid

1. Delaying on a Financial Plan

Not having a financial plan leads to bigger financial risks. Without a financial plan, people are more likely to be unprepared for unexpected surprises.

2. Spending Mindlessly

- Using shiny credit cards for every purchase can lead spenders down a dull path.
- “As long as you have control of your spending daily, you’ll remain confident.”

3. Letting Payments Pile Up

If you let payments pile up, it only hurts in the long run. But the coronavirus pandemic has made it more difficult for people to stay on top of their payments.

Taxes in Your Financial Plan

Taxes in Your Financial Plan

- Tax planning is the analysis of a financial situation or plan to ensure that all elements work together to allow you to pay the lowest taxes possible.
- Proper tax planning makes it easier to build your personal finances and afford the things you want.
- Taxation becomes relevant at various stages of your financial plan.
- For example, 1) There is a tax rebate when you invest in select categories of investments.

  2) There is also a tax implication when you earn regular returns in the form of interest or dividends.

  3) There is a tax implication at the time the capital gains are realized on assets.

  4) Lastly, there is the all important concept of EET that could change the economics of your financial plan.

Tax breaks at the time of investing

- One of the basic principles of long term investing is that you must not focus overly on the tax aspect. But given a choice, you need to consider a more tax efficient option.

- If you need to make an allocation of Rs.100,000 during the year to mutual funds, then should you do it in diversified equity funds or an ELSS. Remember, an ELSS is also an equity fund with a 3-year lock period and giving the additional benefit under Section 80C.

- The 30% exemption in the year of investing substantially improves your yield on the fund.

Tax implications of regular income on investments

- This is an important consideration when you have to choose between similar investment products.
- Assume that you have an allocation of 20% to debt products during the year. You can invest in a bank FD but then the interest earned on the FD will be taxed at the peak rate of tax applicable to you. That will substantially reduce your post-tax returns.
- On the contrary, if you invest the money in debt mutual funds and opt for a dividend plan, then the dividend earned by you will be entirely tax-free in your hands. You also get the added benefit of capital appreciation when the interest rates go down, further adding to your post-tax yields.

Tax exemption at the time of booking profits

- ✓ This factor is very relevant when you are actually comparing equity versus debt.
- ✓ The definition of capital gains is much more favourable in the case of equities as compared to debt.
- ✓ For example, in case of equities and equity mutual funds, the definition of long term is determined by the holding period of 1 year. Additionally, STCG for equities is charged at a concessional rate of 15% while the LTCG on equities are entirely tax exempt.
- ✓ Alternatively, if you own a debt fund with a growth option then it will be long term only if it is held for 3 years. In this case, short term capital gains will be taxed at your peak rate while long term gains will be taxed at 20% after considering indexation.
- ✓ A good option for you to consider will be the Balanced Fund plan since it combines the benefits of debt and equity.

Understanding EEE and EET when it comes to redemption

- When you currently invest in an endowment life policy or in a provident fund, it is classified as EEE (Exempt, Exempt, and Exempt). That means, there is tax exemption at the time of investment, tax exemption on returns and also tax exemption on redemption.
- This tends to distort the yield curve and hence the CBDT has already initiated the plan to shift to EET, meaning that in the year of redemption it will be treated as income in the hands of the investor.
- If the complete shift to EET happens, it could make a huge difference to your post-tax returns.

Difference between tax planning and financial planning based upon some important parameters.

PARAMETERS	TAX PLANNING	FINANCIAL PLANNING
Objective	Tax planning is aimed at reducing your tax liability by helping you avail tax benefits allowed under the relevant sections of the Income Tax Act, 1963. As an efficient tax planner, you should always be keen on reducing your tax burden in the short-term. Planning your taxes beyond the current year can often be a redundant exercise as the Indian Government announces a new budget each year.	The primary objective of financial planning is to help you create and manage wealth in order to eventually meet your financial goals in the long run. An efficient financial planner should look ahead and plan for short-term as well as long-term financial goals.

PARAMETERS	TAX PLANNING	FINANCIAL PLANNING
Scope	The scope of tax planning is solely limited to helping you receive the maximum possible tax benefits each successive year. So, even if you employ the services of a professional tax planner, all they can help you with is filing efficient tax returns and helping you invest in tax-free avenues.	In contrast, financial planning involves a more holistic approach to managing your wealth. It often covers various aspects such as cash flow management, asset management, insurance, investments, retirement planning, and even tax planning.

PARAMETERS	TAX PLANNING	FINANCIAL PLANNING
Benefits	Apart from increasing your overall tax efficiency, efficient tax planning can also enable you to budget and manage your taxes at the beginning of each fiscal year instead of scrambling to file optimum tax returns at the eleventh hour.	Financial planning helps increase your savings by planning and tracking your expenditures. It can also facilitate an overall better standard of living by helping you utilize your money in the best manner possible. By planning your finances well in advance, you can create an emergency fund to take you through any unforeseen financial obstacles in the future. In this way, financial planning can also help you attain some peace of mind knowing that your finances are secure at all times.

Consumer Credit

Consumer Credit

- Consumer credit provides access to more spending power, which enables you to do things like take out a home loan or make purchases with a credit card.
- Responsible use of consumer credit can open doors to new opportunities, but borrowing also has the potential to result in unmanageable levels of debt.

Types of Consumer Credit

1. Instalment Credit
2. Revolving Credit

1. Instalment Credit: typically refers to loans, such as mortgages, auto loans, personal loans and student loans. With instalment credit, you repay what you borrow in fixed payments made each month over a set period of time, or term. The monthly payments, or instalments, are based on the amount you borrow plus the interest you owe

2. Revolving Credit: you can borrow money numerous times a month as long as you stay below your credit limit. You'll have to make at least a minimum monthly payment on revolving credit on or before the account's due date. The amount of your monthly payment will depend on how much money you've borrowed and whether you regularly pay off the full balance to avoid interest changes. If you don't pay off your debt immediately, it rolls over—or "revolves"—to the next billing period.

The most familiar and common type of revolving credit is a credit card.

Advantages of Consumer Credit

- Building your credit history: If you establish a solid payment history for consumer credit accounts, including credit cards and personal loans, and otherwise handle credit responsibly, consumer credit can be a valuable tool for building your credit.
- Boosting your credit score: A positive history of making payments on credit cards, loans and other types of consumer credit can positively affect your credit score.
- Providing perks and rewards: Consumer credit, particularly credit cards, can deliver goodies like airline miles, hotel points and cash back rewards.
- Protecting you against fraud: Credit cards provide all sorts of ways to protect yourself against fraud, such as contactless cards, virtual card numbers, card-locking capabilities and little to no cardholder liability for unauthorized purchases.
- Reimbursing certain purchases: Some credit card issuers reimburse you for purchases if you're not satisfied with an item you bought but the merchant won't accept a return.

Disadvantages of Consumer Credit

- Consumer credit can come at a cost, including interest charges and potential fees.
- Access to consumer credit might enable you to spend beyond your means.
- Missed payments and high debt levels could damage your credit and impact your ability to obtain credit in the future.
- Piling up a lot of consumer debt could result in your debt being turned over to a debt collector, who might constantly nag you about paying the debt.
- Some predatory lenders might trap you into borrowing money at sky-high interest rates.